

BUS63-10

Financial Due Diligence

Quality of earnings, transaction-context net debt, working-capital
peg, tax and covenant review, and the red-flags memo

Interrogating the quality of the numbers on which a deal price depends.

Albert School — 22 hours

Preface

This module assumes the Finance arc that precedes it. From BUS13-3 you can read the three statements and recognise earnings-quality signals; from BUS23-3 you compute ROIC, free cash flow and the Working Capital Requirement (BFR); from BUS33-3 you handle WACC and the cost of debt; from BUS43-3 you price a firm by DCF and multiples and you already use enterprise value, net debt and normalised EBITDA as valuation inputs. Valuation answered *what is the company worth at a given set of numbers?* Financial Due Diligence (FDD) answers the prior question: *can those numbers be trusted, and what is the right number to underwrite?*

FDD is a judgment discipline practised under time and information constraints. The deliverable is not a model but a recommendation about what to trust, what to triangulate, where to spend investigation hours, and when to advise not proceeding. This text follows the official programme exactly and no further.

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1 Quality-of-earnings analysis

Quality of earnings (QoE) asks whether reported EBITDA reflects the recurring, sustainable profitability a buyer will own after closing. The QoE analysis adjusts seller-reported earnings for items that are non-recurring, mis-classified or accounting-driven.

1.1 Non-recurring items

A non-recurring item is income or expense that is not expected to repeat in the ordinary course of business. Examples include restructuring charges, litigation settlements, insurance recoveries, gains or losses on asset disposals, and one-off consulting fees. QoE removes these to isolate the recurring base.

Common pitfall An item can be one-off in direction yet recurring in kind. A company that books a “non-recurring” restructuring charge every year has recurring restructuring; classifying each instance as one-off overstates underlying EBITDA.

1.2 Aggressive revenue recognition

Revenue can be recognised in ways that inflate current earnings:

- **Channel stuffing:** shipping more product to distributors than they can sell, pulling future sales into the current period.
- **Long-term contracts:** recognising revenue too early on percentage-of-completion contracts by overstating completion.
- **Vendor financing:** lending the customer the money to buy the product, so the “sale” depends on collection that may not occur.

Each pattern produces revenue that will not recur or may reverse; QoE tests whether recognition matches delivery and collectability.

1.3 Pro-forma adjustments: legitimate vs cosmetic

A pro-forma adjustment restates historical EBITDA as if a change had been in place for the whole period. An adjustment is **legitimate** when it reflects a real, evidenced and committed change in the business; it is **cosmetic** when it adds back costs that will in fact continue or projects savings that are not yet secured.

Legitimate	Cosmetic
Full-year effect of a signed, closed acquisition	Run-rate of “synergies” not yet realised
Removal of a genuinely closed business line	Add-back of owner compensation kept post-deal
Annualising a price increase already in force	Add-back of “exceptional” costs that recur yearly

Definition 1 (Earnings quality) The degree to which reported earnings represent recurring, cash-generative profitability that will persist under the buyer’s ownership, as opposed to one-off, mis-classified or accounting-driven amounts.

2 Buyer-normalised EBITDA bridge

The seller presents an EBITDA figure; the buyer must underwrite a different one. The **EBITDA bridge** is the itemised reconciliation from seller-presented EBITDA to buyer-normalised EBITDA.

Definition 2 (Buyer-normalised EBITDA) Seller-presented EBITDA adjusted to remove non-recurring and cosmetic items and to reflect the cost base, accounting policies and run-rate the buyer will actually carry after closing.

The bridge is a signed list of adjustments:

$$\text{Buyer-normalised EBITDA} = \text{Seller EBITDA} + \sum_i a_i$$

where each a_i is a documented add-back (positive) or deduction (negative): removal of non-recurring income, reversal of cosmetic add-backs, normalisation of accounting policies, correction of mis-classified items, and reflection of costs the buyer will incur but the seller did not (for example a stand-alone cost for a carve-out).

2.1 Value-transfer implications

Price is commonly set as a multiple of EBITDA, $EV = m \times \text{EBITDA}$. At a multiple m , every unit of EBITDA disputed in the bridge moves enterprise value by m units. A 1.0 of EBITDA the buyer refuses to underwrite at a multiple of 8.0 is 8.0 of price. The bridge is therefore the principal quantified input to price negotiation: each line is a value-transfer claim between buyer and seller.

Common pitfall Multiplying a debt-like or working-capital item by the EBITDA multiple double-counts it. Multiple-driven value transfer applies to **recurring EBITDA** adjustments; one-off cash items belong in net debt or working capital, not in the EBITDA bridge.

3 Transaction-context net debt

Valuation introduced equity value = enterprise value – net debt. In a transaction the definition of “net debt” is **contractual**, negotiated in the agreement, and broader than the accounting balance.

Definition 3 (Transaction-context net debt) The set of items deducted from enterprise value to reach the equity price, as defined by the agreement: reported financial debt less cash, plus all **debt-like** items and less any **cash-like** items the parties agree to treat as such.

3.1 Accounting vs contractual definition

The accounting definition counts interest-bearing borrowings less cash and equivalents. The contractual definition adds items that are economically debt even if not labelled as borrowings on the balance sheet.

3.2 Non-obvious debt-like items

- **Earn-outs:** deferred contingent consideration owed for past acquisitions.
- **Environmental liabilities:** obligations for remediation of contamination.

- **Underfunded pensions:** the deficit between defined-benefit obligations and plan assets.
- **Contingent liabilities:** probable obligations from litigation, guarantees or warranty claims.

Each reduces the equity price like debt. Symmetrically, restricted or trapped cash is not freely available and may be excluded from the cash offset.

Common pitfall Cash on the balance sheet is not automatically a deduction from debt. Cash required to run the business (minimum operating cash) or trapped in jurisdictions with repatriation barriers is not “free” cash and should not net against debt.

4 Normalised working capital

The buyer must receive the target with a **normal** level of working capital, so that neither party transfers value by manipulating the operating cycle around closing. Working capital here is the operating BFR from BUS23-3 (receivables plus inventory less payables), defined in the transaction by an agreed scope.

4.1 Scope and seasonality

The agreement defines which balance-sheet lines are inside the working-capital scope (and therefore excluded from net debt, and vice versa). Because working capital fluctuates within the year, the **normal** level is computed from a trailing series — commonly a twelve-month average — to remove seasonality rather than reading a single month-end.

4.2 Setting the peg

Definition 4 (Working-capital peg) The target (normal) level of working capital agreed in the contract. At completion, actual working capital is compared to the peg; the price is adjusted up if actual exceeds the peg and down if it falls short.

The peg is typically the average of normalised monthly working capital over a representative period. A peg set too low lets the seller deliver the business short of operating cash and capture value; set too high, it penalises the seller.

4.3 Locked-box vs completion accounts

Locked-box	Completion accounts
Price fixed on a past “locked” balance sheet date	Price adjusted to actual figures at completion
No post-closing adjustment; value accrues to buyer from the locked-box date	True-up after closing against the peg
Certainty, lower closing cost	Accuracy, but post-closing dispute risk

Under the locked-box mechanism the economic risk and reward pass at the locked date, and leakage (value extracted by the seller after that date) is controlled contractually. Under completion accounts the parties settle against the peg after closing.

5 Working capital and net debt in the SPA

The Share Purchase Agreement (SPA) is the contract of sale. Its working-capital and net-debt clauses fix the boundary between the two: every balance-sheet item must sit in exactly one of “net debt”, “working capital”, or neither.

5.1 Scope definition

Defining the scope means classifying each item. A given accrual (for example, unpaid bonuses or deferred revenue) can plausibly sit in working capital or be treated as debt-like; where it lands changes the price.

5.2 Financial stakes of a poorly drafted BFR clause

If the BFR (working-capital) clause is vague or its peg is mis-set:

- an item can be counted in both working capital and net debt (double count) or in neither (gap), shifting value to one party;
- a peg that does not reflect true seasonality lets one side time the closing to its advantage;
- ambiguity produces post-closing disputes over the completion-accounts true-up.

For the **buyer**, a loose clause risks acquiring a business starved of operating cash; for the **seller**, it risks an unjustified downward price adjustment. The clause is therefore a direct determinant of net price, not a technicality.

6 Tax due diligence

Tax DD interrogates the tax position both as a source of hidden liabilities and as a signal of historical earnings quality.

6.1 Accounting tax vs cash tax

The tax expense in the income statement (accounting tax) differs from tax actually paid (cash tax). The reconciliation between them exposes the deferred component and recurring versus one-off effects.

$$\text{Cash tax} = \text{Accounting tax} - \Delta \text{ Deferred tax} \pm \text{timing and one-off items}$$

6.2 Latent tax risks

- **Transfer pricing:** intra-group prices that tax authorities may challenge, creating reassessment exposure.
- **Ongoing reassessments:** open audits or disputes with tax authorities.
- **Derogatory regimes:** reliance on preferential tax treatments that may lapse or be disallowed.

6.3 Deferred tax liabilities as an earnings-quality signal

Definition 5 (Deferred tax liability (DTL)) A liability for tax that will be paid in future periods because taxable income has been deferred relative to accounting income.

A growing DTL means accounting income has consistently exceeded taxable income — the company reports earnings to shareholders faster than it recognises them to the tax authority. Persistent divergence is a signal that reported earnings may be of lower quality than cash results, so the DTL trend is read as an earnings-quality indicator and not only as a future cash obligation.

7 LBO debt architecture

A leveraged buy-out (LBO) funds the acquisition largely with debt serviced by the target's cash flows. FDD reviews whether that debt package is sustainable.

7.1 Financial covenants

Definition 6 (Financial covenant) A contractual financial test the borrower must satisfy at each measurement date; breach is a default trigger.

The common covenants are:

- **Leverage:** Net debt / EBITDA below a ceiling.
- **Interest coverage:** EBITDA / interest above a floor.
- **Cash flow** (debt service coverage): cash available for debt service relative to scheduled service, above a floor.

7.2 Default triggers and headroom

Definition 7 (Headroom) The margin between the covenant threshold and the borrower's actual ratio — how far performance can deteriorate before a breach.

For a leverage covenant with ceiling L and current leverage ℓ , headroom is $L - \ell$ in turns of EBITDA. Identifying the **binding** covenant means finding which test has the least headroom and therefore constrains the business first.

7.3 Structural adjustments

Where headroom is thin, the package can be restructured: loosen covenant levels, re-profile amortisation, add equity cure rights, or adjust the leverage. FDD recommends which adjustment relieves the binding constraint.

Common pitfall Headroom computed on seller-presented EBITDA overstates safety. Recompute covenant ratios on buyer-normalised EBITDA; a covenant comfortable on seller numbers can be in breach on the underwritten number.

8 Forensic due diligence

Forensic DD looks for deliberate manipulation, beyond the routine QoE adjustments.

8.1 Recurring manipulation patterns

Manipulation recurs in identifiable forms: fictitious or related-party revenue, overstated assets (inventory or receivables that do not exist), capitalising costs that should be expensed, and round-tripping cash to fabricate sales. Reported cases such as Sino-Forest — where the existence and scale of the underlying assets could not be verified — are analogues of these patterns.

8.2 Aggressive accounting vs fraud

Aggressive accounting exploits the discretion permitted within the accounting framework (optimistic but defensible estimates); fraud involves misrepresentation outside it (fabricated transactions, falsified records). The distinction is one of intent and of staying inside versus outside the rules.

8.3 Structural limits of DD

Common pitfall DD samples; it does not audit exhaustively. It relies on management-supplied information, operates under a time-box, and cannot by construction detect collusive fraud designed to defeat it. A clean DD is evidence of no red flags found, not proof that none exist.

9 Due diligence as a management process

FDD is run as a managed engagement, not an open-ended investigation.

- **Team structure:** work is divided across workstreams (QoE, net debt, working capital, tax, legal/forensic) with a lead coordinating findings.
- **Time-boxing:** each workstream has a fixed budget of hours; investigation stops when the box is spent unless escalated.
- **Escalation discipline:** a finding is escalated when its potential value impact exceeds a threshold; otherwise it is closed and recorded.
- **Questioning management:** questions are sequenced from open to specific, and **non-responses** — evasions, delays, missing data — are themselves treated as evidence and weighted accordingly.

10 The red-flags memo under time pressure

The engagement terminates in a red-flags memo produced and defended under time constraint.

10.1 Triage of investigation hours

With fixed hours, issues are ranked by **risk weight** — likelihood times potential value impact — and hours are allocated to the highest-weighted issues first. Low-weight issues are closed without further work and the closure is recorded.

10.2 Quantified valuation impacts

Each red flag is quantified in price terms: an EBITDA adjustment is translated through the multiple, a debt-like item enters net debt at face, and a working-capital shortfall adjusts the price directly. The memo states a number, not a concern.

10.3 Escalate vs close

For each line of investigation the analyst decides to **escalate** (invest further hours, raise to the deal team, or make it a condition) or **close** (record the finding and move on), justified by the issue's risk weight and remaining headroom in the time-box.

10.4 Oral defence

The memo is defended orally before a jury, including an invited M&A practitioner, who tests the robustness of each quantified claim and each escalate-versus-close decision. The defence stands on the evidence behind the numbers and on the judgment of where investigation hours were spent.

The FDD chain. Test earnings quality, then build the buyer-normalised EBITDA bridge; reconcile transaction-context net debt and the normalised working-capital peg, and fix their boundary in the SPA; review tax exposure and the LBO covenant headroom on the underwritten EBITDA; apply forensic scrutiny within DD's structural limits; and run the

whole as a time-boxed, escalation-disciplined process that ends in a quantified, defensible red-flags memo.